

3.4.3 The International Economy

Globalisation

Candidates should have an understanding of the causes of globalisation, its main characteristics, and the different consequences for developing and for developed countries. There should be some understanding of the role of multinational corporations in the development of globalisation.

Trade

Candidates should understand the model of comparative advantage, the distinction between comparative and absolute advantage, and be able to use a simple numerical example to illustrate this distinction. They should be able to evaluate the importance and limitations of these concepts as well as discuss the costs and benefits of trade generally.

There should be an understanding of the reasons for changes in the pattern of trade between the UK and the rest of the world, as well as the potential costs and benefits of trade for an economy. Candidates should also be able to discuss the nature and importance of trade between developed and developing countries for both parties.

There should be an awareness of the extent of progress towards free trade in recent years, especially through the role of the World Trade Organisation (WTO). Equally, candidates should understand the causes and consequences of protectionist policies such as tariffs, quotas and export subsidies.

The Balance of Payments

Candidates should know the difference between the current and capital and financial accounts on the UK balance of payments.

*Note: candidates will be aware of the composition of the current account from Unit 2; a detailed knowledge of the remainder of the accounts is **not** required, but the nature and significance of both short-term and long-term international capital flows should be understood.*

An understanding of the importance of the City of London to the trade in financial services should be conveyed to candidates.

Candidates should understand the possible significance of deficits and surpluses for an individual economy. They should also understand the possible implications for the global economy of a major economy or economies with imbalances deciding to take corrective action. Candidates should also be able to analyse and evaluate measures which may be taken to deal with balance of payments deficits or surpluses.

Exchange Rate Systems

Candidates should understand how exchange rates are determined in both fixed and floating exchange rate systems (whether completely free or managed periodically by the authorities).

Candidates should be able to evaluate these exchange rate systems and have an understanding of their implications for the management of the domestic economy.

The European Union (EU)

Candidates should have an elementary understanding of the institutional structure of the EU, notably the role of the European Commission and the European Central Bank.

*Note: a detailed knowledge of these institutions is **not** expected.*

Candidates should be able to discuss the main features of customs unions and understand the significance of the EU as a customs union. The EU as a customs union should be considered in relation to the Single European Market (SEM).

Candidates should have an appreciation of the potential impact on the UK economy of EU enlargement.

They should be able to evaluate Economic and Monetary Union (EMU) and the single European currency in the context of the debate over UK membership.

